LAYER 1

Systematic Risk Calibration

Quarterly / on market shift

Who: Leadership, finance, and senior technical staff.
When: Periodically — quarterly, or when market conditions shift materially.
Output: Current risk premium and systematic adjustment factor that sets the environment for all engagement-level scoring.

SYSTEMATIC RISK SCORING

FACTOR	1	2	3	4	5
Platform Stability Licensing, governance, ecosystem health	1 Stable	2	3 Mixed	4	5 Crisis
Talent Market Availability and cost of delivery skills	1 Ample	2	3 Tight	4	5 Acute
Economic Conditions Client budget health across your market	1 Growing	2	3 Flat	4	5 Contracting
Regulatory Exposure Compliance mandates affecting deliverables	1 Calm	2	3 Adapting	4	5 Major
Revenue Concentration Client, channel, or vertical dependency	1 Diverse	2	3 Moderate	4	5 >30%
Rate Pressure Market-wide compression on rate card	1 Rising	2	3 Flat	4	5 Compressing

SYSTEMATIC ADJUSTMENT FACTOR

Composite Score: — / 30 → Adjustment Factor: —

COMPOSITE	ADJUSTMENT FACTOR
—	—
of 30	score all factors

Portfolio / Pure approach: *Use this factor (—) as your portfolio-wide β in the CAPM formula.*
Engagement / Hybrid approach: *Use this factor (—) to weight each engagement's beta in Layer Two.*